

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 21-17

OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK
EXPRESS (NORTH AMERICA) INC. - POSSIBLE VIOLATIONS OF 46
U.S.C. § 41102(C)

**VERIFIED PETITION TO THE COMMISSION FOR RECONSIDERATION AND
RESCISSION**

Respondent Ocean Network Express Pte. Ltd (“ONE”), through its undersigned counsel, hereby petitions the Federal Maritime Commission, pursuant to 46 C.F.R. 502.261 (Rule 261), for reconsideration of its December 30, 2021, final Order of Investigation and Hearing (“Order”) addressed to ONE.¹ In so doing, ONE shows that the Order is premised on allegations that are not true and raises claims that could not possibly be deemed violations of the Shipping Act.

Putative Respondent Ocean Network Express (North America), Inc. (“ONE NA”), through its undersigned counsel, hereby moves for rescission of the Order, on the ground that it is not an ocean common carrier.

This Petition identifies substantive errors of material fact and law contained in the Order of Investigation and Hearing. **To avoid the problem of the case proceeding on duplicate and**

¹ Rule 261 permits reconsideration where there is “a substantive error in material fact contained in the decision or order”; or where the petition “addresses a finding, conclusion or other matter upon which the party has not previously had the opportunity to comment.” We demonstrate below that the Order reflects both these defects.

potentially conflicting tracks, we ask the Commission to stay the proceedings before the Administrative Law Judge until the Commission rules on this Petition.

BACKGROUND

ONE is an ocean carrier that provides transportation of cargo in the United States foreign trade. ONE NA is the U.S. agent for ONE, but ONE NA does not itself provide ocean transportation.

As with all ocean common carriers, ONE maintains a tariff and issues bills of lading for the shipments it transports. This bill of lading includes, *inter alia*, a definition of “Merchant,” addressing who is responsible for charges associated with the transportation, as follows:

“Merchant” includes the Shipper, Consignee, owner, Person owning or entitled to possession of the Goods or of this Bill, Receiver, Holder, and anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers ("NVOCCs"), and freight forwarders.

Although the Commission’s Bureau of Enforcement (“BOE”) has claimed this definition is unusually broad (a contention reflected in the allegations of the Order), ONE has previously shown BOE that it is no broader, and arguably narrower, than the Merchant definitions of many other major ocean common carriers.

The Order addressed to ONE pertains only to **two, related** shipments from Brazil to the United States arriving in November 2018, as to which Greatway Logistics Group, LLC (“Greatway”) acted in a way that suggested it might have had a beneficial interest in the cargo. The Order, however, provides virtually no description of what Greatway did that caused ONE to include Greatway in its complaint seeking recovery for charges relating to the two bills of lading. Explanation of the particulars, however, is critical to understanding the unique nature of ONE’s

singular decision. We accordingly provide pertinent details of the two shipments and, as we understand from the Order to be relevant, ONE's attempt to potentially collect demurrage from Greatway.

During October and November 2018, ONE transported two shipments of pine plywood from Brazil to Houston, Texas. The first shipment was transported under ONE bill of lading No. ONEYSAOU240004000. The second shipment was transported under ONE bill of lading No. ONEYSAOU24596300. Both shipments of cargo safely arrived from their voyages to Houston on November 6, 2018, and November 15, 2018, respectively. The consignee on both bills of lading was Pacific Lumber Resources, Inc. ("Pacific Lumber"). Greatway was identified as the Notify Party for Bill of Lading ONEYSAOU24000400 but acted with respect to both bills of lading.²

In early November 2018, prior to the physical arrival of the shipments in Houston, Greatway submitted paperwork, and upon information and belief, paid the import duties to obtain clearance for the shipments under both bills of lading into the United States from U.S. Customs & Border Protection.

Upon information and belief, a dispute of unknown substance arose between Pacific Lumber and its commercial counterparts in Brazil related to these shipments (and others). In

² The statement in the Order that Greatway was a notify party on one, but not the other, of the bills of lading is strictly a red herring. The ONE Merchant Clause (quoted above) does not purport to apply to a party based on its being listed as a notify party. Nor has ONE ever asserted that appearance as a notify party by itself makes an entity liable for charges related to the bill of lading. As BOE knows, and we describe below, ONE's decision to include Greatway in its complaint to recover charges owed to ONE was made based on Greatway's specific actions regarding the cargo for **both** shipments, which suggested that Greatway, whatever its relation to the bill of lading, had control over, and a beneficial interest in, the shipments. As demonstrated below, those are bases for liability wholly apart from being a notify party, that the Commission and the courts have found sufficient to demonstrate shipper status in particular circumstances.

December 2018, as part of the effort to resolve that dispute, the Brazilian shippers sent ONE and Greatway a request to modify both bills of lading; more specifically, to change the consignee. ONE began exploring options to accommodate the shippers' request. Greatway, however, characterized the request as "serious problem" and responded to ONE that "We will not allow changes to the bills of lading." [Underline added]. See, Exhibit 1.

Meanwhile, free time in the Port of Houston had expired for both shipments, so the cargo began accruing daily demurrage and storage charges.³ On January 17, 2019, consignee Pacific Lumber finally picked up the shipments from the Port of Houston. ONE subsequently paid the accrued storage charges levied by the Port of Houston for both shipments and, when ONE was unable to recover the accrued demurrage and storage, ultimately commenced suit in the United States District Court for the Southern District of Texas, Houston Division (the "Texas Litigation") to recover the unpaid demurrage and storage from various parties, including Greatway.⁴

Greatway appeared and answered in the Texas Litigation. After a course of written discovery and mediation, ONE reached confidential settlements with other defendants and voluntarily dismissed its claims against Greatway. ONE did not require, and Greatway did not contribute in any way to the settlements. However, Greatway then *opposed* the dismissal of ONE's claims and sought to obtain its attorney's fees via a counterclaim. The U.S. District Court initially dismissed Greatway's counterclaim and, after additional briefing on Greatway's motion

³ Greatway was involved in the discussions about detention/demurrage.

⁴ This complaint was the only time in its four-year history that ONE ever filed suit under its bill of lading against an entity that was not identified thereon as either shipper or consignee. The action was taken only after great deliberation about the unique circumstances of the transaction.

for reconsideration at Greatway's request, the U.S. District Court affirmed the dismissal of Greatway's counterclaim with prejudice.

PROCEDURAL ISSUES

In 2019, the Commission substantially amended its regulations pertaining to investigations. 46 C.F.R. 502.63(d). The two most significant changes were: (i) to give the Commissioners more involvement in decisions to initiate enforcement proceedings, and (ii) to provide the targets of investigations the opportunity to respond **before** an order of investigation is issued. The latter requirement was to serve both as a matter of fairness to targets, and to better inform BOE and the Commissioners when deciding whether to start a formal investigation, with its concomitant burdens.

ONE does not dispute the Commission's authority to make exceptions to the rule of a pre-enforcement right to respond. The reality, however, is that the rule has apparently been observed only in the breach, causing the exception to swallow the rule. Based on our research, it appears that since the Commission created the right to a pre-enforcement response, it has uniformly waived the rule whenever it has issued an order of investigation and hearing. And in every case, the reason for the waiver is stated quite tersely to be expedition.

With all due respect, it is hard to see the purpose of a rule that is uniformly waived. If the Commission thinks the rule is not contributing to a more fair and informed process, and now finds it unimportant to get both sides of the story before deciding how to proceed, it should simply rescind the rule in straightforward manner.

Also with respect, the brief reasons given for the waiver in this proceeding appear little more than makeweights. The Commission here waived the rule "for the expeditious conduct of

business,” and to “help alleviate stress being placed on the supply chain, including the significant role that unreasonable billing practices have had on congestion and freight fluidity.” None of these reasons bears scrutiny.

The Order gives no reason or rationale as to how this hearing will “alleviate stress” on the supply chain, or how this unique episode in 2018 – where upon clarification of the relevant facts ONE decided not to seek to collect demurrage from Greatway – will move any current cargo any faster. The Order addresses only a singular incident – a payment dispute over two, related bills of lading, which were issued in 2018 -- well before the current episode of congestion. The disputes between ONE and Greatway related to the underlying episode are now fully and finally resolved. There is simply no way that further litigating a past incident could have any effect on current cargo. The underlying *post-hoc* payment dispute had nothing to do with congestion or fluidity. It did not cause cargo to be released any later or delay the removal of the cargo from the terminal.

We expect BOE would say that Commission action is needed to deter future ONE actions of the same ilk, which could contribute to congestion and loss of cargo fluidity. How that would happen is at best obscure, but is in any event irrelevant, because, as BOE well knows, the Greatway incident is *sui generis*. Other than this isolated incident, ONE has never sought to collect ocean freight or ancillary charges such as detention or demurrage charges from a party that is not a shipper, consignee, or owner of the cargo on a straight (non-negotiable) bill of lading,⁵ except when the shipper or consignee gives ONE express authorization, including both before and after Greatway.⁶ Further, as ONE has repeatedly told BOE, ONE is willing to commit

⁵ Different considerations obviously apply to negotiable bills of lading, as the persons with rights and responsibilities thereunder may change – even multiple times – during the transportation process.

⁶ See note 4, *supra*.

not to bring future claims against “inappropriate” parties, with the details of what is “inappropriate” to be worked out between BOE and ONE.⁷ But the inability of ONE to respond in advance, combined with the very tight time frames allotted in this proceeding, make it unreasonably burdensome for ONE to engage in meaningful settlement talks with BOE, and instead virtually ensure that the matter must go through longer, more formal processes. Avoidance of such burden and time-wasting was the very reason the Commission promulgated the rule.

Finally, as we demonstrate below, the Order is premised on inaccurate and/or misleading allegations. Had ONE been given the opportunity to respond in advance, the Commissioners would have been much better informed about the facts and why there is no reasonable possibility that BOE will prevail against either Respondent.

The remainder of this petition substantially reflects what ONE would have said had it been given the opportunity set forth in the FMC rules to respond in advance of a Commission decision on commencing an investigation.

ARGUMENT REGARDING ONE NA

We start with the petition of ONE NA because it is simple and irrefutable. The FMC’s regulatory jurisdiction is limited, as relevant here, to “ocean common carriers.” An ocean common carrier is a “common carrier” that operates the vessels by which transportation is provided. To be a common carrier, an entity must: (i) hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for

⁷ Although BOE has suggested that it may ask for changes to ONE’s Merchant Clause itself, it has acknowledged that the substantive provisions of the bill of lading are outside the Commission’s jurisdiction. *Definition of "Package,"* 23 SRR 111, 113 (1985). Accordingly, the Merchant Clause itself cannot be a “practice” (and the Order does not allege that it is), but only its exercise in specific incidents.

compensation; (ii) assume responsibility for the transportation of origin to destination, and (iii) use for all or part of the transportation a vessel operating on the high seas.

The Order fails to address this issue, conflating ONE NA with ONE. That is a clear error of both material fact and law. ONE NA is not a common carrier, but only an agent for ONE. ONE NA does not hold itself out to the public to provide transportation of any sort, much less between the United States and a foreign country; nor do shippers pay ocean freight and other charges to the account of ONE NA. Neither does ONE NA take responsibility for the cargo; that again, is ONE. The distinction between ONE and ONE NA is recognized by the Commission in its list of VOCC tariffs, where ONE is listed as an ocean common carrier, but ONE NA is not.⁸ Finally, ONE NA does not operate any vessels, and so could not be an ocean common carrier even if it were a common carrier (which it is not).

Because ONE NA is not an ocean common carrier subject to the Shipping Act, or otherwise subject to the statutory prohibition claimed to be violated, the Order must be rescinded as to ONE NA.

ARGUMENT CONCERNING ONE⁹

The Order rather strangely asserts that, “if the facts alleged [in the Order] are proven, ONE has violated the Shipping Act.” Such prejudgment is not only impermissible, but plainly wrong. The factual allegations in the Order state only that ONE has a Merchant Clause and that

⁸ See, FMC VOCC list available at <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc>.

⁹ If, for some reason the Commission finds, contrary to the showing above, that ONE NA is an ocean common carrier or otherwise subject to 46 U.S.C. § 41102(c), the proceeding would still need to be dismissed against ONE NA, for the same reasons discussed below with respect to ONE.

ONE sued Greatway under that Clause to recover charges on two bills of lading.¹⁰ Even assuming *arguendo* that those facts are true, they would not by themselves make out a violation. Under the Shipping Act, as implemented by the FMC regulations, BOE would also have to prove, *inter alia*, that: (1) ONE has a “practice” of pursuing entities that are not shippers/consignees, and (2) that “practice” is a violation under the Shipping Act and unreasonable under the particular facts and circumstances. As we show below, BOE simply cannot make such a demonstration.

1. **“Practice.”** To prove a practice, BOE will have to show that ONE has a “normal, customary, and continuous business practice” regarding application of its Merchant Clause. Any such claim, however, is unsustainable both as fact and as a matter of law.

The Order alleges ***only a single instance*** (*i.e.*, the Texas Litigation) whereby ONE even attempted to enforce its bill of lading charges against an entity that was not a bill of lading shipper or consignee. In that case, ONE brought ***one*** federal court case against multiple defendants, including Greatway, regarding two, related bills of lading. After preliminary discovery, settlement negotiations, and a mediation that Greatway voluntarily attended, ONE dismissed its claims against Greatway.

As BOE knows, and as confirmed by the verification hereof, there are ***no other*** instances in which ONE has ever attempted to seek payment of its rates and charges from a non-shipper/consignee, premised on the definition of “Merchant” in ONE’s bills of lading. As stated above, ONE told BOE that it is willing to commit in writing that it will not do so in the future,

¹⁰ The assertion that ONE had a “practice” is not a statement of fact, but only an allegation about how the facts should be characterized. Whether ONE’s isolated actions constitute a “practice” is one of the precise issues that will need to be litigated herein, and which we show below cannot possibly be found on the facts.

absent a good faith reason to believe, under the specific circumstances, that such entity has or may have a beneficial interest in the cargo or has otherwise (apart from the Merchant clause) assented to contractual liability.

This singular episode cannot possibly be deemed a “practice” as required to make out a claim under 46 U.S.C. 41102(c); 46 C.F.R. 545.4. The regulation plainly states that a “practice” for purposes of 41102(c), must consist of acts or omissions that occurred “on a normal, customary, and continuous basis.” Or as the Commission elaborated in crafting the rule, an alleged practice must be “the normal, customary, often repeated, systematic, uniform, habitual and continuous manner in which the regulated carrier was conducting business.” Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64479 (Dec. 17, 2018)(Final Rule). It strains reason to suggest that a single lawsuit, encompassing two, inter-related shipments, constitutes a normal, customary, often repeated, or uniform series of actions.

Commission precedent likewise forbids any such deviation from common sense. In *Hangzhou Qianwang Dress Co. v. RDD Freight International Inc.*, 2020 FMC Lexis 192 (2020), for example, the Commission held that three failures to deliver cargo to the correct party was not frequent or regular enough to constitute a practice. In so holding, the Commission explicitly agreed with the Presiding Officer’s finding that the complainant’s speculation that RDD “might have acted similarly regarding ‘other clients past and present’ was insufficient to prove normal, customary and continuous conduct.” Likewise, in *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2020 FMC Lexis 238 (ALJ 2020), *aff’d*, 2021 FMC Lexis 125 (FMC 2021), the Presiding Officer concluded that two similar actions by Marine Transport Logistics, LLC were not enough to make out a practice. In affirming the Initial Decision, the Commission explained that : “[t]he essence of a practice is uniformity. It is something habitually performed and implies

continuity . . . the usual course of conduct.” 2021 FMC Lexis 125, *14. (Citations omitted).

Accordingly, it held that:

Crocus has not proved that Marine Transport’s conduct occurred on a normal, customary, and continuous basis as required by § 545.4. Crocus points to only one prior occasion when Marine Transport was found in violation of § 41102(c) for conduct related to storage fees on export cargo, and that occurred in December 2007 and involved a single shipment of three vehicles. 2021 FMC Lexis 125, *3 (Citations omitted).

More directly to the point here, the Commission reaffirmed its prior holdings that **two, three, or six** instances in a short period does not make out a practice.

An "occasional transaction" or isolated act is not a "practice." Stockton Elevators, 8 F.M.C. at 201. **Two or three incidents over a short time period** are **not enough** to show that the conduct in question is an entity’s normal and customary practice. *Hangzhou*, 2020 FMC LEXIS 192, at *7 (releasing 3 shipments to the same consignee without an original bill of lading over a 2-month period insufficient to show that was respondent’s normal practice or that it was customary or continuous). **Even six** instances of “unreasonable conduct” carried out over a period of several months involving the same entities have been ruled **insufficient** to prove that conduct was “uniform or continuous” under § 41102 (or its predecessor, section 17 of the Shipping Act). *Stockton Elevator*, 8 F.M.C. at 200-201(charges to the same customer inconsistent with tariff rates on six occasions amounted to a ‘single transaction’). *Id.* at *15. (Emphasis added).

To like effect, see the recent decision in *Marie Carew v. Maersk Line A/S*, 2021 FMC LEXIS 183 (I.D. 2021, Admin. Final), where the Commission concluded that **four** instances of alleged misconduct did not make out a practice.

Whether ONE’s actions are viewed as a single lawsuit or two bills of lading, the Commission’s precedents say that they are not sufficient to create a “practice” under the Shipping Act. Even if they are viewed as two actions, two is less than or equal to the two, three, four, and six incidents that the Commission has repeatedly deemed insufficient for a “practice.”

Indeed, the instant matter – involving one lawsuit covering two bills of lading is even more of a “single transaction” than the six similar actions in *Stockton Elevators*.¹¹

ONE is aware that, in *MAVL Capital, et al. v. Marine Transport Logistics, Inc.*, 2021 FMC LEXIS 161 (ALJ 2021), the Presiding Officer found a practice based on an inference or presumption that where a carrier is authorized by its bill of lading to take specified actions, the provision itself can be sufficient to show that the carrier has a regular practice of taking such actions. Because the Initial Decision in *MAVL* is now pending before the Commission, we refrain from commenting on the use of such a presumption in that case and instead limit ourselves to a few comments about the possible extension of that presumption to a general rule.

First, when looked at from a global perspective, the jump from an entity being authorized to take an action to a factual finding that it does so on a regular basis is more a leap of faith than an inference of logic. As just one example, ocean common carrier and MTO agreements frequently authorize the parties to take a larger variety of actions, discuss a broad range of subjects, and/or compile/report on a variety of matters. That does not mean that the parties in fact take, much less take on a continuous basis, every authorized action, discuss every authorized subject, or compile and report on every authorized matter.

Second, even if such a presumption may be considered a logical inference in some circumstances, it certainly cannot be considered irrebuttable. *See, e.g.*, FED. R. EVID. 301(Any presumption is rebuttable unless the governing statute provides otherwise); *Vlandis v. Kline*, 412 U.S. 441 (1973) (irrebuttable presumption improper where the matter presumed “is not necessarily or universally true in fact”); *Board of Education v. Califano*, 1977 U.S. Dist. LEXIS

¹¹ *Investigation of Certain Practices of Stockton Elevators*, 8 FMC 181 (1964).

12853 (E.D.N.Y. 1977) (“Irrebuttable presumptions are disfavored”). ONE has already informed the Commission (including BOE), and here repeats under oath, that apart from the unique factual circumstances giving rise to the Texas Litigation, it has not attempted, and does not attempt, to impose liability for ocean freight and associated storage and demurrage charges on any entity that is not a shipper or a consignee on a straight bill of lading. Thus, even if the *MAVL* presumption is sustainable in other circumstances, it certainly cannot apply here.

2. **Reasonableness.** Even apart from this fatal flaw that there is no “practice,” or even a colorable claim that there might be a practice, both fact and law preclude BOE from proving that such practice was unreasonable.

The Order makes no attempt to show that ONE’s actions (even if considered a practice) were unreasonable. It makes a conclusory allegation but offers no facts to back that allegation up. More importantly, the Order omits certain facts relating to the Greatway incident that are critical to determining whether ONE’s actions therein were reasonable or unreasonable.

Most importantly, the Order pretends that the action regarding Greatway occurred in a vacuum, rather than in a specific, concrete context. As Greatway itself has acknowledged in the Texas Litigation and the private complaint proceeding, Greatway took certain actions regarding the shipments at issue suggesting that Greatway could have had a beneficial interest in the cargo and control over its movement and was not a mere notify party or customs broker. In particular, Greatway refused a request from the shippers to revise the two bills of lading on the basis that “We [i.e., Greatway] will not allow changes.” Likewise, Greatway participated in the discussions regarding the storage and demurrage charges to a greater extent than customary for a mere notify party.

These actions indicated Greatway was more than a mere notify party and may have had more than ordinary interest in and control over the cargo, which the Commission and the courts have found to be a *sine qua non* of beneficial interest. See, e.g., *Petition of NCBFAA*, 28 SRR 1042, 1048-1051 (FMC 1999) (ocean freight forwarder with special control over the cargo may be deemed a beneficial cargo owner and hence a shipper); *Pacific Coast Fruit Distributors, Inc. v. Pennsylvania R. Co.*, 217 F3d 273, 275 (9th Cir. 1954) (control and direction over cargo may constitute acceptance of liability); *A.P. Moller-Maersk A/S v. Safewater Lines (I) Pvt, LTD.*, 276 F. Supp. 3d 700 (S.D. Tex. 2017). And Greatway voluntarily participated in the Texas Litigation, without moving for dismissal. Instead, after discovery was conducted ONE voluntarily dismissed Greatway.

ONE's decision to include Greatway as a defendant in the Texas Litigation was, as stated above, a *sui generis* decision based on specific facts. Such facts are detailed above, so we merely reiterate a few salient points.

- The decision to include Greatway as a defendant was not made lightly. Instead, it was taken only after significant review as to the peculiarities of the matter.
- ONE concluded, and neither Greatway nor anyone else ever argued to the contrary, that there was a reasonable basis in both fact and law to add Greatway as a defendant in the Texas Litigation, so that it could confirm whether Greatway was in fact a responsible party.
- After some written discovery and settlement discussions, ONE dismissed its claim against Greatway and Greatway's counterclaim against ONE was dismissed by the court. Thus, Greatway ultimately faced no exposure for ONE's claimed damages.

Although the question whether ONE's actions concerning Greatway were unreasonable is not, in theory, as susceptible as the matter of a "practice" to a summary conclusion, the above circumstances preclude any sensible finding of unreasonable action. As BOE and the courts have

recognized, other entities beyond the shipper and consignee involved in the transportation may be liable for ocean freight and charges. In particular, the courts have recognized that agents for both shippers and consignees may be liable on a bill of lading. In *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, 2021 U.S. Dist. LEXIS 223441 (S.D.N.Y. 2021), for example, the Court concluded that the defendant could not be held liable solely based on being a notify party on the bill of lading but stated that the defendant would be liable if it were shown to be an agent of the consignee. Likewise, in *Mediterranean Shipping Co. USA Inc. v. AA Cargo Inc.*, 46 F. Supp. 3d 294 (S.D.N.Y. 2014), the court concluded that an agent of the shipper was liable for transportation charges. See, e.g., *A.P. Moller-Maersk A/S v. Safewater Lines (I) Pvt, LTD.*, 276 F. Supp. 3d 700 (S.D. Tex. 2017) (entity may be liable based either on agency for shipper/consignee or control over the cargo).

Here, Greatway's actions led ONE to a reasonable belief that such an exception might apply to Greatway. To determine whether that was true, ONE included Greatway as a defendant in the Texas Litigation, took limited discovery to investigate, and ultimately voluntarily dismissed Greatway.¹² A decision by the Commission prohibiting common carriers from bringing judicial actions to investigate their good faith beliefs and explore the underlying facts in such actions would have serious commercial consequences.

Finally, issuance of an order of investigation solely against ONE is simply unfair. As BOE recognizes, almost all ocean common carriers (as well as NVOCCs) use Merchant Clauses in their bills of lading that include entities that are neither shippers nor consignees. Although ONE believes its Merchant Clause is at least arguably narrower than those of most other carriers,

¹² Greatway appears to have understood that ONE had a reasonable basis to include Greatway as a defendant, as it never argued or suggested that such action violated Rule 11.

they are all to the exact same effect. Under those circumstances, it defies regulatory sense and fundamental fairness to pick out a single entity for punishment. ONE understands the Commission is concerned about instances in which Merchant Clauses are unfairly invoked, but respectfully submits that the way to address such concerns is not by picking on an individual carrier, but rather by the Commission completing its rulemaking process, or if more expedition is needed by launching an industrywide investigation. Setting up ONE as simply the first in a row of dominoes is unjust.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons:

- (i) Respondent ONE respectfully requests that the Commission stay the proceeding before the Administrative Law Judge pending the resolution of this Petition;
- (ii) Respondent ONE NA respectfully requests that it be dismissed from the proceeding; and
- (iii) Respondent ONE respectfully requests that the Commission reconsider the Order and terminate this proceeding as to both ONE and ONE NA (if deemed an ocean common carrier).

Dated: January 19, 2022

Respectfully submitted,

Rebecca A. Fenneman
/s/ _____

Eric C. Jeffrey

D.C. Bar: No: 1722599

Rebecca A. Fenneman

D.C. Bar: No: 252585

Jeffrey/Fenneman Law + Strategy, PLLC

700 12th Street, NW

Suite 700

Washington, DC 20005

Telephone: 202-904-2301

Email: EJeffrey@JeffreyFenneman.com

RFenneman@JeffreyFenneman.com

**ATTORNEYS FOR RESPONDENT
OCEAN NETWORK EXPRESS PTE.
LTD.**

EXHIBIT 1 (ATTACHED SEPARATELY)

VERIFICATION

I declare under penalty of perjury that the foregoing Petition for Reconsideration and Recission is true and correct.

For Ocean Network Express, PTE. LTD:

By : Jacob Lee

Date : January 19, 2022

Name : Jacob Lee

Title : Vice President & General Counsel, Ocean Network Express (North America), Inc.

Address: 8730 Stony Point Parkway, Suite 400
Richmond, VA 23235

Email: Jacob.Lee@One-line.com

For Ocean Network Express (North America), Inc.:

By : Jacob Lee

Date : January 19, 2022

Name : Jacob Lee

Title : Vice President & General Counsel, Ocean Network Express (North America), Inc.

Address: 8730 Stony Point Parkway, Suite 400
Richmond, VA 23235

Email: Jacob.Lee@One-line.com

CERTIFICATE OF SERVICE

I certify that on the 19 day of January, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

ATTORNEYS FOR BUREAU OF ENFORCEMENT:

Benjamin K. Trogon, Director
BTrogon@fmc.gov

Cory Cinque, Trial Attorney
CCinque@fmc.gov

Brenda Doty, Trial Attorney
Bdoty@fmc.gov

Theron Korsak, Trial Attorney
TKorsak@fmc.gov

Bureau of Enforcement
Federal Maritime Commission
800 N. Capitol St., N.W.
Washington D.C. 20573
(202) 523 5783

/s/ Rebecca A. Fenneman

Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
Tel: (202) 904-2301
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005

From: karen.siqueira@one-line.com on behalf of BR Export <br.export@one-line.com>
Sent: Thursday, December 6, 2018 4:38 PM
To: rick@greatwaylogisticsgroup.com
Cc: NA.CSVC ImportInquiry
Subject: Re: ONEYSAOU24000400 OBL NEEDED

Hi dear,

I will inform the customer and revert asap.

Thanks a lot,
Karen Siqueira.

Tks & rgds,



Customer Service

Ocean Network Express (Latin America)
Praça da República, 62 – 11º andar – cj. 111
11013-921 - Santos - SP - Brazil
Phone: +55 13 3500-6330
www.one-line.com



Em qui, 6 de dez de 2018 às 17:37, Rick Robinson <rick@greatwaylogisticsgroup.com> escreveu:

Gentlemen,

The cargo has already been nationalized into the United States in another consignees
name.

This is going to be a serious problem.

Rick

From: karen.siqueira@one-line.com <karen.siqueira@one-line.com> **On Behalf Of** BR Export
Sent: Thursday, December 6, 2018 2:25 PM
To: NA.CSVC ImportInquiry <NA.CSVC.IMPORTINQUIRY@one-line.com>
Cc: Rick Robinson <rick@greatwaylogisticsgroup.com>
Subject: Re: ONEYSAOU24000400 OBL NEEDED

Hi dear,

Kindly note that the shipper have contacted us, and he needs to change the CONSIGNEE.

QUOTE

Dear Import Houston team,

We've received request from shipper asking about possibility to amend Cnee in both BL.

Could you please inform if there is any penalty on manifest customs to amend it ?

CUSTOMER	DESTINATION	BOOKING	Our reference	ETA DESTINO
PACIFIC LUMBER	HOUSTON	SAOU24000400	AGLEM1888-18	06/11/2018
PACIFIC LUMBER	HOUSTON	SAOU24596300	AGLEM1889-18	16/11/2018

Please also inform below:

-> Final free time date?

-> Estimate Demurrage and detention costs for each booking?

UNQUOTE

We sent 2 reminders, but no answers.

How can we proceed?

Thanks a lot,

Karen Siqueira.

Tks & rgds,



□-----□

Customer Service

□-----□

Ocean Network Express (Latin America)
Praça da República, 62 – 11º andar – cj. 111
11013-921 - Santos - SP - Brazil
Phone: +55 13 3500-6330
www.one-line.com



Em qui, 6 de dez de 2018 às 13:08, NA CSVC ImportInquiry <NA.CSVC.IMPORTINQUIRY@one-line.com> escreveu:

Hello,

The OBL has not been surrendered.

Demurrage charges are outstanding.

Please have someone look into this URGENT matter.

KKFU8131010

BEAU4593133

TLLU4374520

BSIU9791698

TGCU0012443

ONEYSAOU24000400

Awaiting response

----- Forwarded message -----

From: Linda Luster <NA.CSVC.IMPORTINQUIRY@one-line.com>

Date: Wed, Nov 21, 2018 at 4:14 PM

Subject: ONEYSAOU24000400 OBL NEEDED

To: <RICK@greatwaylogisticsgroup.com>

Please be advised that we show customs clearance on the above listed bill.

Freight charges have been paid

NO OBL has been received.

Please advise on this.

Freight arrived on 11/6/18

This e-mail and any materials contained in or accompanying it may be confidential, subject to legal privilege, or otherwise protected from disclosure, and is intended solely for the intended recipient(s). If you have received this communication in error, please notify the sender immediately, delete all copies in your possession and do not use any information herein. Neither Ocean Network Express Pte. Ltd. nor any of its related corporations or affiliates make any warranties in relation to this e-mail or any materials contained in or accompanying it.

Our Privacy Notice has changed. Please visit <https://one-line.com/standard-page/privacy-policy> to view the updated notice.

--

Regards,

☐-----☐

Import Team
Service Center

☐-----☐

Ocean Network Express
Phone: 844-413-6029

From: BR Export <br.export@one-line.com>
Sent time: 02/14/2020 08:38:28 AM
To: Denise Gouvinhas <denise.gouvinhas@one-line.com>
Subject: Fwd: ONEYSAOU24000400 OBL NEEDED

Many Thanks and Best Regards,

AS ONE, WE CAN.



Customer Service Representative - Export

Ocean Network Express (Latin America)

Rua Guaiaó, 66 - 11º andar - cj. 1112

Santos - SP - Brazil

Phone: +55-13-3500- 6330

www.one-line.com

A banner for "LIVE CHAT ON-LINE" with a blue background. It features a laptop screen on the left showing a chat interface with the text "Precisa de ajuda? Clique aqui e comece um chat com a ONE!". To the right of the laptop, there is a list of services: "Acesse: br.one-line.com", "Exportação: Shipping Instruction - Link do Usuário; Retirada de container vazio; Suporte no envio do VGM.", "Extensão de Deadline de Draft" (marked with a "NEW" icon), and "Importação: Consulta sobre desbloqueio no SISCOMEX; Entrega de container vazio; Disponibilidade de originais no destino." Below the banner, there are three circular icons for Facebook, Instagram, and LinkedIn.

LIVE CHAT ON-LINE
Horário de atendimento: de Segunda a Sexta das 9h às 12h - 13:30h às 17:30h

Acesse: br.one-line.com

Exportação: Shipping Instruction - Link do Usuário; Retirada de container vazio; Suporte no envio do VGM.

Extensão de Deadline de Draft

Importação: Consulta sobre desbloqueio no SISCOMEX; Entrega de container vazio; Disponibilidade de originais no destino.

----- Forwarded message -----

From: Rick Robinson <rick@greatwaylogisticsgroup.com>
Date: Mon, Dec 10, 2018 at 5:05 PM
Subject: RE: ONEYSAOU24000400 OBL NEEDED
To: BR Export <br.export@one-line.com>, NA.CSVC ImportInquiry <NA.CSVC.IMPORTINQUIRY@one-line.com>
Cc: Ben Gallinger <beng@pacificbr.com>

Good Afternoon,

GLG000186

ONE0567

Exhibit 1
ONE0006

The goods have already been cleared through US Customs in the name of the consignee.

We will not allow changes to these ladings.

Regards,

Rick Robinson

From: karen.siqueira@one-line.com <karen.siqueira@one-line.com> **On Behalf Of** BR Export
Sent: Monday, December 10, 2018 1:58 PM
To: NA.CSVC ImportInquiry <NA.CSVC.IMPORTINQUIRY@one-line.com>
Cc: Rick Robinson <rick@greatwaylogisticsgroup.com>; Ben Gallinger <beng@pacificlbr.com>
Subject: Re: ONEYSAOU24000400 OBL NEEDED

Hi dears,

Could you please inform us, how this cargo has already been nationalized into the United States in another consignees

name ? The customer is asking it..

[ONEYSAOU24596300:](#)

PACIFIC LUMBER RESOURCES INC

1159 MCVEY AVE, LAKE OSWEGO, OR

97034 USA

[ONEYSAOU24000400:](#)

PACIFIC LUMBER RESOUERCES INC

1159 MCVEY AVE, LAKE OSWEGO, OR

97034 - USA

TEL: +1 503-675-0040

GLG000187

Kindly note this urgent case!

ONE0568

Exhibit 1
ONE0007

Thanks a lot,
Karen Siqueira.

Tks & rgds,

Customer Service

Ocean Network Express (Latin America)
Praça da República, 62 - 11º andar - cj. 111
11013-921 - Santos - SP - Brazil
Phone: +55 13 3500-6330
www.one-line.com

Em sex, 7 de dez de 2018 às 15:26, NA CSVCS ImportInquiry <NA.CSVC.IMPORTINQUIRY@one-line.com> escreveu:

Good Afternoon,

Would some please assist with the OBL for these two bills.

On Thu, Dec 6, 2018 at 10:08 AM NA CSVCS ImportInquiry <NA.CSVC.IMPORTINQUIRY@one-line.com> wrote:

Hello,

The OBL has not been surrendered.

Demurrage charges are outstanding.

ONE0569

GLG000188

Exhibit 1
ONE 0008

Please have someone look into this URGENT matter.

KKFU8131010

BEAU4593133

TLLU4374520

BSIU9791698

TGCU0012443

ONEYSAOU24000400

Awaiting response

----- Forwarded message -----

From: Linda Luster <NA.CSVC.IMPORTINQUIRY@one-line.com>

Date: Wed, Nov 21, 2018 at 4:14 PM

Subject: ONEYSAOU24000400 OBL NEEDED

To: <RICK@greatwaylogisticsgroup.com>

Please be advised that we show customs clearance on the above listed bill.

Freight charges have been paid

NO OBL has been received.

Please advise on this.

Freight arrived on 11/6/18

sender immediately, delete all copies in your possession and do not use any information herein. Neither Ocean Network Express Pte. Ltd. nor any of its related corporations or affiliates make any warranties in relation to this e-mail or any materials contained in or accompanying it.

Our Privacy Notice has changed. Please visit <https://one-line.com/standard-page/privacy-policy> to view the updated notice.

GLG000190

ONE0571

Exhibit 1
ONE0010